

Revenue Retention & Return Rate Diagnosis

Category Performance · Root-Cause Analysis · Actionable Recommendations

— Mock Dataset Analysis— Tools: Excel Pivot Tables— Categories: Accessories · Laptops · Mobiles

01 — OVERVIEW

Project Scope

This project analyzed an electronics store dataset using Excel Pivot Tables and business-oriented reasoning. The objective was to identify which product categories were genuinely retaining revenue after discounts and returns, diagnose the root causes of operational issues, and surface measurable KPIs and improvement actions for the store owner.

02 — CATEGORY PERFORMANCE

Revenue Summary

CATEGORY	GROSS REVENUE	AFTER DISCOUNT	FINAL RETAINED	RETENTION %	RETURN RATE %
●Accessories	₹13,600	₹11,480	₹3,200	23.53%	66.67%
●Laptops	₹2,08,000	₹1,90,720	₹1,43,200	68.85%	33.33%
●Mobiles	₹1,31,000	₹1,24,700	₹1,24,700	95.19%	0%

03 — KEY INSIGHTS

Category Highlights

ACCESSORIES

23.5%

Revenue Retained

High sales volume erased by heavy discounts and a 66.67% return rate — signaling persistent product-quality issues.

LAPTOPS

68.9%

Revenue Retained

Solid performer, but one Lenovo IdeaPad return despite highest discount and below-average delivery time suggests an expectation mismatch.

MOBILES

95.2%

Revenue Retained

Best category overall — zero returns, fast delivery, low discount dependency. The benchmark for operational excellence.

04 — ROOT-CAUSE DIAGNOSIS

Category-Wise Analysis

Accessories

CRITICAL

PROBLEM & DIAGNOSIS

Despite generating strong sales activity, most revenue was erased after discounts and returns. Customer C203 repeatedly purchased and returned Boat Earbuds — pointing to recurring product-quality dissatisfaction rather than a pricing or delivery concern.

↗KPI: Weekly product-wise return rate

RECOMMENDATIONS

- Review and tighten supplier quality standards for Boat Earbuds
- Introduce internal quality testing before dispatch
- Track product-wise return rates on a weekly cadence

Laptops

MONITOR

PROBLEM & DIAGNOSIS

One Lenovo IdeaPad was returned despite receiving the highest discount and below-average delivery time, ruling out pricing and logistics as root causes. The return is most likely attributable to product expectation mismatch or an undisclosed quality concern.

↗KPI: Weekly laptop return rate by product

RECOMMENDATIONS

- Improve visibility and clarity of specifications on product pages
- Add a customer Q&A / pre-purchase support section
- Implement supplier quality reviews and internal testing processes

PROBLEM & DIAGNOSIS

No major operational problems identified. The category demonstrates exemplary performance — high retained revenue, zero returns, low discount dependency, and fast delivery timelines. Focus should shift from acquisition to retention.

↗KPI: Repeat purchase rate of mobile customers

RECOMMENDATIONS

- Maintain current delivery speed and service quality standards
- Shift focus toward customer retention over aggressive discounting
- Introduce loyalty benefits and future upgrade incentive programs

05 — PROJECT LEARNINGS

Key Takeaways

- 01 Learned the difference between observation-based reporting and diagnosis-oriented analysis
- 02 Applied retained revenue analysis instead of relying solely on headline sales numbers
- 03 Used elimination-based reasoning to systematically narrow down likely business problems
- 04 Connected KPIs directly to operational and financial business impact
- 05 Developed a recommendation-focused business analysis workflow end-to-end